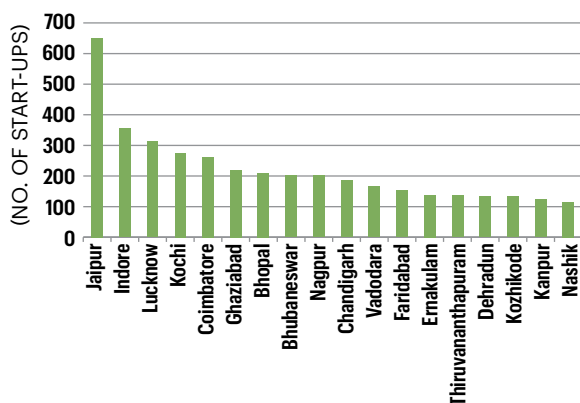


NEW START-UP HUBS

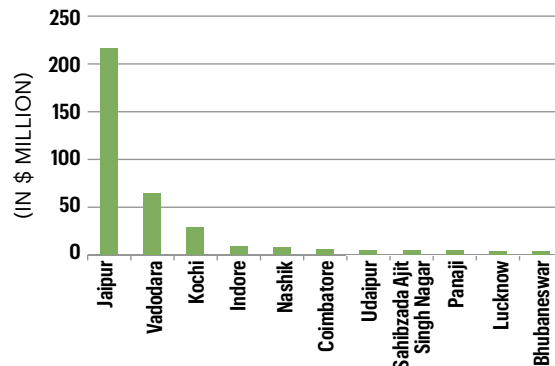
- As many as 18 small cities have seen more than 100 start-ups being launched since 2020
- Places like Mohali, Ranchi, Guwahati, and Prayagraj are home to more than 50 start-ups each



SOURCE TRACXN

WANING WINTER?

- In 2023, as many as 12 non-metro cities received at least \$1 million in start-up funding
- Places like Prayagraj, Bhopal, Nagpur, Meerut, Ranchi, and Thiruvananthapuram also received good funding



TOTAL FUNDING RECEIVED IN 2023 **SOURCE** TRACXN

96 | start-ups coming from Tier II and III cities to three key drivers: heightened digital connectivity, expansion of entrepreneurial ethos in smaller cities, and the growing presence of incubator and accelerator ecosystems aimed at nurturing local start-ups and founders.

“Utilising local opportunities and strengths, entrepreneurs in these regions frequently address distinctive challenges and requirements that are often disregarded in major metropolitan areas,” says Zanwar, who is also the president of Amravati Management Association that is organising a BharatCon24 Summit in January to further develop the ecosystem in the city.

While India has around 90 active unicorns, with almost all of them being based in metro cities, a completely different picture emerges when one takes into account soonicorns—ventures that are expected to touch the \$1-billion valuation mark soon. For instance, Pune has 17 soonicorns, Ahmedabad and Indore have four each, and Surat, Thiruvananthapuram and Vadodara have two each, shows data from Tracxn.

“The benefits of launching a start-up from a non-metro include a massive, untapped market, less competition as compared to the metro cities—especially on digital platforms—and the increasing dependence of people on various technologies after Covid-19,” says Anitta Babu V., Co-founder of Kottayam, Kerala-based digital services start-up Digi Suvidha.

For Keeros’s Sahni, the biggest plus a Tier II or III location offers are the reduced costs of real estate and manpower, and more importantly, better employee retention. Industry participants add that gradually these locations are catching on with their Tier I peers in terms of offering stable data connectivity, uninterrupted power supply, and the availability of good quality educational institutes churning out a skilled workforce.

“The whole process of company registration, chartered accountant and company secretary work is done inexpensively, and if it’s your hometown, it’s a definite plus... The friends and family network really helps, and things get done effectively,” says Logout’s Nagaria.

Launching a start-up, however, is, according to many, the easier part. The real challenge lies in securing the funding to scale up the business, and here, the investing community plays the most important role. So how do investors view start-ups from non-metros?

The Money Game

“Factors like seamless data connectivity and UPI have convinced investors of the Bharat story. The whole Bharat story is playing out well and all the investors are looking at it quite seriously,” says Paula Mariwala, Founding Partner of Aureolis Ventures, who is also the Founder of Stanford Angels, a network of Stanford University alumni in India who fund ventures as angel in-